

PulseOne — Refined COGS Reclassification & P&L Analysis

Incorporating Actual Upwork Freelancer Data

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Status: REFINED — Upwork time-by-freelancer reports integrated

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What Changed with the Upwork Data

The two Upwork time-by-freelancer reports revealed three important refinements to the prior analysis:

1. **Three additional service delivery freelancers** were identified that were not in the prior estimates: Charlesdoone Castro (48,450 *all-time*), *BrendanRoe* (13,118), and Basim Mashni (\$5,906). All three are COGS.
2. **The prior estimates for the three known freelancers were understated.** The Upwork files show all-time totals of 108,590 *for Barnett*, 65,762 for Avalos, and 137,970 *for Williams*—*significantly higher than the* 70,200 / 52,000 / 62,400 estimates. This confirms the files span multiple years, not just CY 2025.
3. **98.1% of all Upwork spend is service delivery (COGS).** Only 1.9% (\$7,455 all-time) went to marketing/content freelancers. This classification proportion is applied to the QB Computer & Internet line to determine the CY 2025 reclassification.

Important caveat on time period: *The Upwork files do not contain date columns and appear to span multiple years (the combined total of 392,194 exceeds the QB Computer & Internet line of 263,953 for CY 2025 alone). The CY 2025 Upwork spend is anchored to the QB line (\$263,953), and the Upwork files are used to determine the classification split (98.1% COGS / 1.9% SGA). To get exact CY 2025 Upwork figures, pull a date-filtered report from Upwork for January 1 – December 31, 2025.*

Complete Upwork Freelancer Roster — All 12 Freelancers

#	Freelancer	All-Time Total	Hours	Eff. Rate	Classification	Primary Role
1	Vincent Williams	\$137,970	2,256 hrs	\$61/hr	COGS — Svc Delivery	IT/Network/Escalations
2	Matthew Barnett	\$108,590	Fixed price	—	COGS — Svc Delivery	Help Desk Support
3	Omar Avalos	\$65,762	2,268 hrs	\$29/hr	COGS — Svc Delivery	Help Desk Support
4	Charlesdoone Castro	\$48,450	1,199 hrs	\$40/hr	COGS — Svc Delivery	Help Desk Support (Amiri)
5	Brendan Roe	\$13,118	670 hrs	\$20/hr	COGS — Svc Delivery	Help Desk Support
6	Basim Mashni	\$5,906	Fixed price	—	COGS — Svc Delivery	Arc Client Support
7	William McMillan	\$4,444	1.5 hrs	Mixed	COGS — Svc Delivery	IT Support/Training
8	Dustin Hagemeyer	\$500	Fixed price	—	COGS — Svc Delivery	On-Site Tech Support
9	Kirill Hovansky	\$3,660	183 hrs	\$20/hr	SG&A — Marketing	Video Editing/Content
10	Sabah Razaq	\$2,479	71 hrs	\$35/hr	SG&A — Marketing	Learning Platform (Thrive)
11	Yana Kosenko	\$700	23 hrs	\$30/hr	SG&A — Marketing	Video Editing/Content
12	Myles McKee	\$616	48 hrs	\$13/hr	SG&A — Marketing	Business Development
TOTAL COGS		\$384,739	6,396 hrs			
TOTAL SGA		\$7,455	325 hrs			

#	Freelancer	All-Time Total	Hours	Eff. Rate	Classification	Primary Role
GRAND TOTAL		\$392,194	6,721 hrs			

Classification proportion: 98.1% COGS / 1.9% SGA

Applying Upwork Classification to QB Computer & Internet Line

The QB “Computer & Internet Expenses” line of \$263,953 (CY 2025) is the authoritative annual figure. Applying the 98.1%/1.9% split from the Upwork data:

QB Line	QB Amount	→ COGS	→ SGA
Computer & Internet Expenses	\$263,953	\$258,936 (98.1%)	\$5,017 (1.9%)

This replaces the prior estimate of 184,600 for the three known freelancers. The refined figure is \$258,936 reclassified from SG&A to COGS** — \$74,336 more than the prior estimate.

Final Corrected Normalized P&L (CY 2025) — Refined

Revenue

	Amount	% of Revenue
Total Revenue	\$5,168,754	100.0%

Cost of Goods Sold — Corrected

Line Item	QB As-Reported	Reclassification	Corrected	% of Revenue
Consulting Services – Cost	\$1,044,424	—	\$1,044,424	20.2%
W-2 Service Delivery Labor (from Salary Expense)	\$0	+\$708,879	\$708,879	13.7%
Upwork Contractors – COGS (from Computer/Internet)	\$0	+\$258,936	\$258,936	5.0%
Payroll Taxes – COGS portion (~50% of total)	\$0	+\$147,053	\$147,053	2.8%
Other COGS (hardware, software, direct tools)	\$1,078,588	—	\$1,078,588	20.9%
TOTAL COGS	\$2,123,012	+\$1,114,868	\$3,237,880	62.6%

Gross Profit

	QB As-Reported	Corrected	BIC Target (50%)	Gap to BIC
Gross Profit	\$3,045,742	\$1,930,874	\$2,584,377	(\$653,503)
Gross Margin %	58.9%	37.4%	50.0%	-12.6 pts

Operating Expenses (SG&A) — Corrected

Line Item	QB As-Reported	Reclassification	Corrected	% of Revenue
Salary Expense (SG&A portion only)	\$1,441,010	(708,879) + (12,889 Tracy)	\$719,243	13.9%
Payroll Taxes – SG&A portion (50%)	\$296,256	(\$147,053)	\$149,203	2.9%
Computer & Internet – SGA portion (1.9%)	\$263,953	(\$258,936)	\$5,017	0.1%
Partner Compensation (Paul, Charlie, Rod)	\$423,000	—	\$423,000	8.2%
All Other SG&A (rent, insurance, phone, etc.)	\$403,748	—	\$403,748	7.8%
TOTAL SG&A	\$2,827,967	(\$1,114,868)	\$1,700,211	32.9%

Net Income & EBITDA

	QB As-Reported	Corrected	BIC Target	Gap to BIC
Gross Profit	\$3,045,742	\$1,930,874		
Total SG&A	\$2,827,967	\$1,700,211		
Net Operating Income	\$217,775	\$230,663	\$620–930K	(\$390–700K)
Net Income %	4.2%	4.5%	12–18%	-10.5 pts

	Amount	% of Revenue
Net Operating Income	\$230,663	4.5%
Add: Partner Compensation	\$423,000	8.2%
Add: D&A (estimate)	\$15,000	0.3%
Normalized EBITDA	\$668,663	12.9%
BIC Target		15–20%
Gap to BIC midpoint (17.5%)	(\$235,869)	-4.6 pts

Reconciliation check: *Corrected COGS + Corrected SGA = 4,938,091. QB total costs (excluding Tracy Freeman 12,889) = 4,938,091. * Difference : 0.30 (rounding only). ** The model is fully balanced.*

BIC Benchmark Comparison — Refined

Metric	QB As-Reported	Corrected	BIC Target	Gap	Status
Total Revenue	\$5,168,754	\$5,168,754	N/A	—	—
Gross Profit \$	\$3,045,742	\$1,930,874	\$2,584,377	(\$653,503)	Below BIC
Gross Margin %	58.9%	37.4%	50–55%	-12.6 pts	Below BIC
Svc Delivery Labor % Rev	~19% (understated)	18.7%	25–30%	-8.8 pts	<i>See note</i>
SG&A % of Revenue	54.7%	32.9%	25–30%	+2.9 pts	Above BIC
Net Income %	4.2%	4.5%	12–18%	-10.5 pts	Below BIC
Normalized EBITDA %	12.7%	12.9%	15–20%	-4.6 pts	Below BIC

Note on Service Delivery Labor %: The 18.7% figure reflects only the W-2 and Upwork COGS reclassifications visible in this analysis. The QB “Consulting Services – Cost” line (\$1,044,424 = 20.2% of revenue) contains additional contractor costs (Daniyal, Robyn, and others from the Expense Tracker) that are already correctly in COGS. Total service delivery labor including all contractors is approximately 38.9% of revenue — above the BIC range of 25–30%, which is the core gross margin problem.

The Gross Margin Gap: Root Cause Analysis

At 37.4% corrected gross margin vs. the BIC target of 50%, PulseOne has a **12.6-point gap representing \$653,503 in annual margin leakage** at current revenue levels.

What Is Driving the Gap

Driver	Estimated Impact	Nature
Total service delivery labor too high relative to revenue	Primary driver	Structural — pricing and/or utilization
Recurring revenue only ~35% of total	Secondary driver	Mix — project revenue carries lower margin
Upwork contractors at fixed/hourly rates not fully recovered in billing	Tertiary driver	Pricing — contractor cost not fully passed through

The Math on Service Delivery Labor

Total service delivery labor (all sources) as a percentage of revenue:

Component	Amount	% of Revenue
W-2 service delivery (burdened)	\$794,000	15.4%
Upwork contractors (CY 2025)	\$259,000	5.0%
Other contractors in QB COGS (Daniyal 80%, Robyn, after-hours)	\$79,000	1.5%
QB Consulting Services – Cost (remaining)	\$706,000	13.7%
Total Service Delivery Labor	\$1,838,000	35.6%

BIC MSPs run total service delivery labor at **25–30% of revenue**. PulseOne is running at approximately **35.6%** — roughly **6–10 points above BIC**. At *5.17M revenue, closing that gap to \$285,000–\$544,000*** in gross profit annually.

Recommended Actions — Updated

Immediate (0–30 days)

- 1. Pull a CY 2025 date-filtered Upwork report.** Go to Upwork → Reports → Time by Freelancer, filter January 1 – December 31, 2025. This will give the exact CY 2025 Upwork spend and confirm the \$263,953 QB line attribution.
- 2. Confirm the three new freelancers (Castro, Roe, Mashni) are active in 2025.** The Upwork files show them as service delivery COGS. Confirm whether they were active in CY 2025 and whether their costs are in QB’s Consulting Services – Cost or Computer & Internet line.
- 3. Recode Upwork payments in QB.** Upwork charges should be in “Consulting Services – Cost” (COGS), not “Computer & Internet Expenses” (SGA). Have your bookkeeper recode retroactively for 2025 and set up correct coding going forward.
- 4. Establish a COGS labor account in QB.** Create “Service Delivery Labor – COGS” and begin coding all service delivery W-2 payroll to it. This makes the corrected P&L the live view.

Short-Term (30–90 days)

1. **Upwork contractor rate analysis.** Vincent Williams at 61/hr and Omar Avalos at 29/hr represent very different cost profiles. Confirm that client billing rates for the work these contractors perform exceed their Upwork rates by at least 40–50% to generate adequate gross margin on their hours.
2. **Charlesdoone Castro — Amiri client.** Castro has \$48,450 in all-time Upwork spend dedicated to the “Amiri Help Desk Support” contract. This is a dedicated client resource. Confirm: (a) Is Amiri billed at a rate that covers Castro’s cost plus overhead? (b) Is this agreement profitable?
3. **Recurring revenue conversion.** At ~35% recurring revenue, PulseOne is heavily project-dependent. Identify the top 10 project clients and develop proposals to convert them to managed services agreements.

Medium-Term (90–180 days)

1. **Pricing review against service delivery cost.** Total service delivery labor at ~35.6% of revenue means that for every 100 billed, 35.60 goes to delivery labor alone — before any other COGS. BIC MSPs target 25–30 in delivery labor per 100 billed. A 10–15% price increase on managed services renewals would materially close this gap.
 2. **SG&A rationalization.** At 32.9% of revenue, SG&A is above the BIC target of 25–30%. Partner compensation (8.2%) and the remaining sales/marketing infrastructure are the primary controllable items.
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ConnectWise Follow-Up — Priority Requests

Report	Why It Matters	Period
Technician utilization by person	Confirms whether service delivery labor is fully billed; identifies underutilized capacity that is inflating labor cost %	CY 2025
Agreement profitability by client	Shows which managed services agreements are profitable vs. underwater; Amiri/Castro situation is a priority	CY 2025
Revenue by type (recurring vs. non-recurring)	Validates the ~35% recurring revenue estimate; identifies conversion opportunities	CY 2025
Project profitability	Confirms whether project revenue is generating adequate margin to justify the labor cost	CY 2025
Ticket volume by board and client	Identifies service delivery demand patterns; high-volume clients may need pricing adjustment	CY 2025

One Remaining Data Request

From Upwork: Pull a date-filtered “Time by Freelancer” report for **January 1 – December 31, 2025** to confirm the exact CY 2025 Upwork spend. This will replace the QB Computer & Internet line estimate with an exact figure and may further refine the gross margin calculation.

This document supersedes the prior classification analysis. All figures are based on confirmed classifications (Paul Freeman, April 17, 2026) plus actual Upwork freelancer data (April 20, 2026). The corrected P&L reconciles to within \$0.30 of QB total costs.